



L'ORÉAL CIRCULHAIR

by L'ORÉAL
GROUPE

STRATEGY & MARKETING

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L'Oréal Group - Company profile

Born in 1909, L'Oréal Group is today the largest cosmetic company in the **world**. Its main purpose is to offer each and every person **the best of beauty** in terms of quality efficacy, safety, sincerity and responsibility to satisfy all beauty needs and desires in their **infinite diversity**.

No.1

in beauty
worldwide

€38.26 Bn

of sales in 2022

4

main
divisions

36

brands

150+

countries

A commitment to innovation: L'Oréal strongly believes that the future of beauty will be built on **GreenScience** - combining efficacy, nature, and sustainability for a competitive advantage- and on **BeautyTech**, utilizing cutting-edge science and technology on a large scale to deliver unrivalled beauty experiences.

From “beauty for all” to “beauty for each”: in a fragmented world L'Oréal aims to provide **personalised, inclusive** beauty solutions, leveraging a portfolio of **culturally diverse brands**, developing region-specific innovations with global potential, and offering tailor-made products and services.

A dual ambition to create sustainable value for all: L'Oréal's strong results drive ongoing investment in **social and environmental goals**, aligning with its dual ambition for economic and corporate **excellence**. As a global beauty leader, it actively promotes environmental responsibility, showcasing the synergy between performance and sustainability.

L'Oréal For The Future: the programme outlines the sustainable transformation the Group aims to complete by **2030** with the goal of working together to build a more **resilient**, more **inclusive**, more **sustainable future** by “reducing our impact and ensuring our business respects planetary boundaries established by the international scientific community” , “empowering our ecosystem (i.e. suppliers, consumers and partners) to be a part of the transformation becoming agents for change” and “contributing to solving the environmental and social challenges facing the world”.



External Enviroment- STEEP Analysis

The STEEP analysis highlights relevant trends in the beauty enviroment. Key drivers of change include the increasing importance of Diversity&Inclusion, innovative technologies, inflation, the growing sensitivity to environmental matters and geopolitical instabilities.

SOCIAL

- More and more **consciousness** about ingredients used in the products formula
- New generations tend to prefer brand **gender-neutral** and inclusive and they focus on brands which vision alligns with their values
- Aging prevention for younger consumers and anti-aging trend for older consumers
- Clients are looking for **customisable** products in terms of ingredients and design

TECHNOLOGICAL

- Increasing opportunities in terms of augmented product and services
- **AR** and **AI** improving customer experience (i.e. virtual try-on)
- **E-commerce** plays an important role in sales
- **Social media** marketing and influencers cover a major part in companies communication
- Intelligent **supply chain systems** enhancing logistics

ECONOMICAL

- The beauty industry is quite resistant to economic recessions
- During the economic downturn triggered by Covid-19, the industry shown **resilience**, witnessing a 19% contraction in 2020 vs 2019 and achieving almost full recovery in 2021
- The Beauty & Personal Care market worldwide is projected to generate a revenue of **US\$625.70Bn in 2023**
- The market is expected to grow at an annual rate of **3.32%** (CAGR 2023-2028)

ECOLOGICAL

- Growing **awareness** of natural resource issues
- Shift towards more **sustainable** packaging and packaging-free products to minimize plastic waste
- Increasing number of companies providing return-and-refill alternatives and plastic-free solutions
- Growing demand for vegan and organic products
- Initiatives to achieve **carbon neutrality** of plants
- Sustainability as a key factor for customers shopping for beauty

POLITICAL

- Variations among countries in terms of tax policies, labor and environmental laws, trade restrictions, and tariffs
- Growing concerns about consumer laws and data protection due to the rising significance of **online sales, social media marketing**, and the digital landscape
- Cultural conflicts in conservative countries influencing **advertising policies**
- More recognitions of LGBTQ+ community and welfare policies for people with disabilities

External Enviroment- Five Forces

MEDIUM-HIGH INTERNAL RIVALRY

Despite the industry's increasing trend - at approximately 3.32% annually from 2023 to 2028- the market is characterized by **high concentration**, with a few groups dominating the majority of brands. Additionally, because of the similarity in direct competitors' offerings, consumers have variety of choices without facing switching costs. **High exit barriers**, attributed to the substantial costs associated with winding down infrastructures and settling debts, lead less profitable businesses to persist, thereby eroding the profits of major players. These factors collectively elevate competition levels and diminish industry profitability.

The sector is marked by **high economies of scale** established by existing players and substantial capital requirements necessary for setting up manufacturing resources and sustaining effective research and innovation. Internal competitors have fostered robust **customer loyalty**, primarily through strong brand equity, owing to their extended presence in the industry. Despite the growth of E-commerce, gaining access to distribution channels remains challenging as they are predominantly controlled by **few major players**.

LOW THREAT OF NEW ENTRANTS

LOW THREAT OF SUBSTITUTES

By examining Abell's model, it can be concluded that there are generally **no direct substitutes** for the products within the industry, with one exception: individuals who choose homemade remedies with natural ingredients for skincare and haircare. However, these alternatives are not significant in terms of segment size price/performance ratio when compared to the offerings of established players in the industry.

The resemblance in product ranges among the industry's top companies results in **low product differentiation**. Even in the premium segment, where customers are less price-sensitive, as there are numerous comparable choices available from competing brands. Switching costs are low and the informations are easily available. The high bargaining power of buyers negatively affects the profitability increasing the level of competition in the market.

HIGH BARGAINING POWER OF BUYERS

LOW BARGAINING POWER OF SUPPLIERS

The **abundance of suppliers** in the beauty industry facilitates negotiation for companies, whose business area is far more concentrated. Given the lack of differentiation or uniqueness in the products and services offered by suppliers, industry players would not face significant switching costs if they opted to change their supplier.

Internal Enviroment

L'Oréal establishes competitive advantages by attaining **high standards** in product quality, professionalism, and customer loyalty. These advantages range from a worldwide recognised **strong brand image** to one of the most **efficient global supply chains**, complemented by a significant online presence and substantial **investments in innovation**. As a result, portfolio differentiation is achieved through the integration of digitalisation, cutting-edge beauty technologies, and high-performing products, offering customers a unique and personalised experience. The company's commitment to disruptive innovations is sustained through deals and partnerships with high-tech start-ups, ensuring an **agile organizational structure** that readily adopts the latest technologies and effectively manages the risks of potential disruptions.

VALUE CHAIN

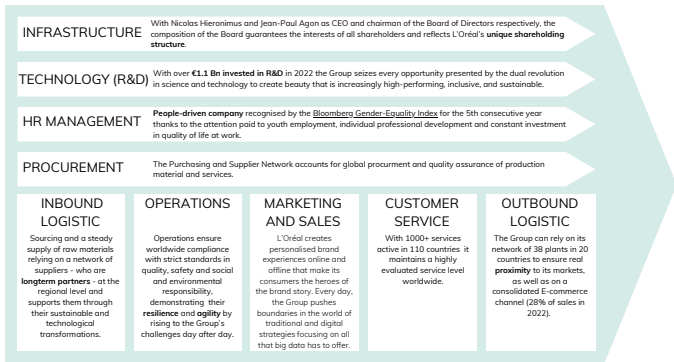
L'Oréal demonstrates marked internal consistency and coherence between activities although having to manage the high complexity associated with a large portfolio of **36 brands** and **87'400 employees**.

UNIVERSALIZATION

→ Globalisation that captures, understands and respects differences in desires, needs and traditions.

→ Strategically concentrated yet operationally decentralised: local teams are empowered to ensure that in every country they are close and relevant to their consumers.

→ Global industrial presence, so that innovations can be brought to market quickly and efficiently.



SWOT Analysis

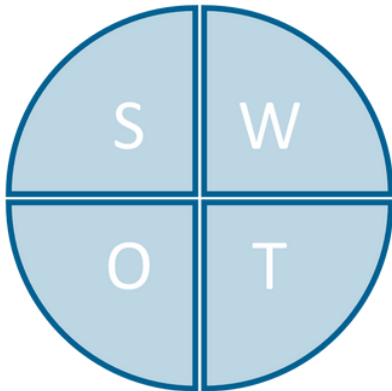
Elements arising from the analyses of both the External Environment and Internal Environment are grouped together to define a SWOT analysis, enabling the exploitation of opportunities by leveraging the strengths of the group while monitoring weaknesses and threats. The **brand**, recognized as a core competence, can allow the group to adopt a stretching strategy and therefore **exploit its strengths in a new business**.

STRENGTHS

- Strong brand, positioning **57th** in the Interbrand Best Global Brands
- L'Oréal's brand portfolio present in more than **150 countries** and globally recognised
- **High digitalisation** covering E-commerce and AI, with a high activity rate of users on the platforms
- **Efficient supply chain**
- Strong R&D and sustainability programmes

OPPORTUNITIES

- Increasing **global awareness** on social matters and sustainability, the latter particularly focused on **Circular Economy**
- Various technologies to **optimise** processes and supply chains
- Growing beauty market in **developing countries**
- Growing desire of heavily customised, omnichannel and seamless experiences enabled by AI and new technologies



WEAKNESSES

- **Organizational complexity**, counting 36 brands and 87'400 employees
- **Substantial operational costs** to sustain the Leadership Position
- Significant number of brands working in the same industry, which could result in **cannibalisation**

THREATS

- Highly **dynamic evolution** of the technological environment and sophistication of customers' expectations
- Increasingly **high prices** of materials and energy due to political conflicts and restrictions. In addition, changes in customer's behaviour caused by inflation and economic crisis can lead to a decrease in purchases
- **Low switching costs** in the Beauty Market that can lead regular customers in wanting to try other brands
- **Tough competition** among established top cosmetic brands

The Birth of the Concept

Having the *Hairstylist at the Heart*, analyses of the customer experience in the salons have been conducted. Once having identified the main steps, focus has been put on the criticalities, both through the eyes of the customer and the hairdresser. Of all, the main aspect taken into consideration was **waste**, which highlighted water consumption (improved by L'Oréal's Water Saver) and **cut hair**: tons of cut hair become in fact unsorted waste daily, missing out on hidden opportunities.



COMMITMENT TOWARDS SUSTAINABILITY

L'Oréal has long been committed to sustainability, starting setting environmental targets from 2013.

The consecutive launch of the programmes **L'Oréal For The Future** and **Hairstylist for the Future** has enhanced this commitment further, emphasising:

- Managing **waste** sustainably;
- Managing **water** responsibly;
- Transitioning to **renewable energy**.

Relying on its strong brand and reputation among hairstylists and the waste management pillar, L'Oréal has an enormous potential to act as a pioneer in this new frontier of **recycling**.

HAIR RECYCLE

While most people know that hair, when meeting certain restrictions, can be donated to create wigs, it is less known that all can be recycled for many different uses. Among their various properties, researchers highlighted that hair can be excellent **fertilisers** for the soil, have good tensile and traction **strength**, are rich in keratin, and possess remarkable **absorbent properties**, capable of absorbing **up to 7-8 L** of **oil** and **hydrocarbons** per kilogram of hair. These properties have led to the exploration of different uses for cut hair:

- Creating sacks and ropes;
- **Gardening and Composting**;
- **Absorbing oil and hydrocarbons**.

Different ONGs and organisations are involved in hair recycling initiatives at the moment, of which it is to mention: Hair Recycle (powered by Dung Dung, Belgian ONG), Green Saloon Collective Initiative (+550 saloons in UK and Ireland), Clean Wave (by Matter of Trust, in San Francisco), and Capillum (acting in France and Italy).

L'Oréal is already committed to the matter and has begun collaborating with **local partners** to promote **hair reuse**, focusing on gardening and composting, and pollution mitigation; a concept that could be developed to enhance L'Oréal's **positive impact** on the environment.

The Concept



THE VALUE PROPOSITION

With the mission of **"Giving everyone's hair a second life"**, L'Oréal CirculHair aims to provide a concrete opportunity for **hair recycling** and involve many salons in this endeavour.

A marketable product - the **Hair Collector** - is the physical representation of a **coordinated** and **IoT-powered logistic system** that connects hairdressers to L'Oréal partners involved in the hair recycling process.

To participate in the programme, salons need to acquire and install the Hair Collector near cutting stations. The device, equipped with a vacuum function, efficiently collects hair as needed. When the Hair Collector reaches full capacity, a sensor sends a notification to the partners, indicating that a sack is ready for pick-up. The supply chain system assists partners in effectively **managing and planning the collection process**.

INNOVATIVE

Being a pioneer in hair recycling

TECH-DRIVEN

Relying on IoT and optimisation software

SUSTAINABLE

Recycling hair with purpose

INCLUSIVE

Being accessible to every saloon and client

FEASIBLE

Collaborating with existing partners and technologies

SCALABLE

Targeting all 1.5 M L'Oréal partners and other salons



The Concept

THE HAIR COLLECTOR

After cutting the hair, the hairdresser sweeps it and brings it to the **Hair Collector**. Activated by a **motion sensor**, the device quietly vacuums the hair, ensuring a serene environment with a **noise suppressor** in place. The hairstylist repeats this process until the sack inside the Hair Collector reaches full capacity: an IoT sensor notifies the hairdresser through a **light signal**, and a **digital alert** is sent to the supply chain system, notifying assigned partners that a bag is ready for pick-up. Moreover, the sensor keeps partners informed about the client's stock of sacks, ensuring a continuous supply at the store. This proactive approach guarantees that new sacks are readily available, allowing the hairdresser to replace them as needed; the sacks are L'Oréal-branded and include a barcode for **traceability** within the logistics system.

The Hair Collector compresses hair, reducing it to occupy **small volumes**. This allows kilograms of hair to be collected in a limited space before the bag reaches maximum capacity, **optimising logistical costs** and enabling partners to recover a significant quantity of hair for each individual bag.

THE PARTNERS AND SUPPLY NETWORK

L'Oréal and its existing partners, who have only shared a common goal up to now, start to collaborate in an integrated manner for the collection of cut hair. L'Oréal manages the logistic system and, through the power of its brand, ensures to reach a large number of salons and supply them with Hair Collectors. The partners, on the other hand, exploiting the **dedicated platform**, are responsible for the hair collection and their consecutive transformation and recycling.

The partner receives the notification from its assigned salons and can visualise the live status of each in the platform. At this point, the smart supply chain system prioritises them according to the agreed service level, and the sacks ready to be picked and restocked, creating an **optimum path** for the partner to follow. The latter frequently collects the hair from the salons, gaining access to its raw material and proceeding in the recycle and selling.

THE SALONS

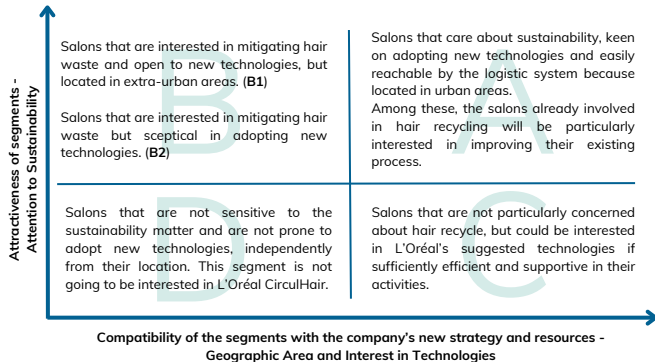
By participating in the programme, salons have the opportunity to put an end to hair waste and take direct action in recycling it. This not only contributes to making the salon more sustainable and environmentally friendly, but also leads to significant **image benefits** to the eyes of both regular and new clients. To emphasize this aspect, L'Oréal takes on a substantial **advertising campaign**, which not only benefits the Group itself but also extends advantages to the salons. The salons, in turn, receive a **programme-related badge** to display in their establishments and are featured on the group's website and social media as partners in this sustainable initiative.



Segmentation&Targeting

To identify the most suitable customers for L'Oréal CirculHair, a **heuristic market segmentation** was conducted, enabling the categorization of salons into four distinct segments. The factors analysed were mainly focused on **socio-demographic, geographic** and **product usage**.

This results in the choice of the segments to target first: the highest priority is given to segment **A**, while segment **B**, which requires higher investments, is the next to be targeted. As far as segments **C** and **D** are concerned, they are not considered to be L'Oréal CirculHair priority, particularly, D is a segment of no interest.



Buyer Personas

Within the context of a **B2B2C market**, a buyer persona has been identified for both hairstylists and their final clients. While the hairstylists are the primary target of L'Oréal CirculHair, understanding the needs and preferences of the final customers is essential to demonstrate that these aspects are desired by them, resulting in a strategic advantage for salons.

Hairstylist



NAME: Demian Peters
AGE: 53
OCCUPATION : Salon's Owner

"In my salon, I dispose of a significant amount of hair. I have often wondered if there were alternatives to reduce this waste. The process would not change; I would still cut hair, swipe hair, and put it into a bin. The difference would be in where that bin goes."

Client

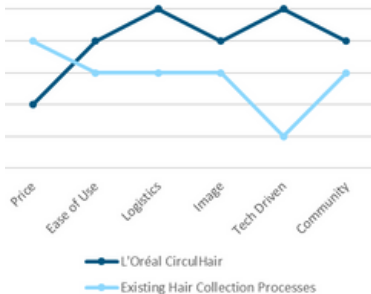


NAME: Rachel Gray
AGE: 32
OCCUPATION : Financial Consultant

"I have heard about some projects for hair recycling; if a nearby hair salon was part of it, I would be happy to give it a try. Knowing that I can give a second life to my hair would make me feel like I am making a positive impact."

Positioning

Aiming to design the company's offering to occupy a distinctive place in the mind of the target market, a positioning analysis has been done **benchmarking** the characteristics of L'Oréal CirculHair against the one of existing partners operating in the hair collection. Given the substantial similarity in the latter offerings, except for the geographical area they operate in, they have been amalgamated into a single category. The performance metrics compared are those deemed most crucial for a salon considering participation in the initiative. As evident, **L'Oréal CirculHair outperforms across all aspects**, particularly excelling in Logistics and Tech Driven capabilities, albeit at a **higher price point**.



PRICE The critical factor of L'Oréal CirculHair when compared to the existing Hair Collecting system: the Group's solution requires, in fact, a **relevant initial investment** for the purchasing of the Hair Collector and, subsequently, its sacks. Instead, the existing ones rely on subscription with periodical payments by the salons.

EASE OF USE The Smart Hair Collector guarantees a **smoother collection** of hair inside the salons when compared to the current cardboard boxes, which require more manual activities and frequent changes of sacks filled with less-compressed hair.

LOGISTICS The main strength of L'Oréal CirculHair, with a **highly automated supply chain** coordinated by an IoT system. This ensures optimum routes for hair collection and adequate timing for salons, which are now not responsible for the planning.

IMAGE While existing projects can already improve the images of adhering salons, the power of L'Oréal brand and the wide spread of the new programme bring an **additional enhancement**.

TECH DRIVEN The solution relies on technology on all of its phases, starting from the features when vacuuming hair, until the supply management. This **reduces inefficiencies** that characterises the low-tech existing initiatives.

COMMUNITY The salons involved in L'Oréal CirculHair are part of an **inclusive network**, allowing them to share passions and interests with colleagues spread across various geographical areas. To foster this sense of community, L'Oréal envisions a dedicated webpage for the programme, where it is possible to view all the participating salons.

For a more comprehensive analysis, a comparison has also been made between L'Oréal's Hair Collector and other hair vacuum systems already available in the market. Once again, when juxtaposed with common products, the price was found to be higher. However, this is justified by greater ease of use, optimization in bag management, and an improved atmosphere due to the effective silencer. These features could potentially attract salons less concerned with recycling, leading them to prefer the L'Oréal Hair Collector over other options in the market. This, even if stepping outside the target segments, might result in increased sales.

Place

WHERE?

L'Oréal CirculHair will be initially launched in **Europe**, a significant market for the Group.

This region, in particular, counts the highest concentration of organizations already engaged in hair collection, simplifying the process of identifying partners and aiding them in expansion. Additionally, Europe stands out as a geographic area where sustainability receives comparatively higher attention than in other markets. Initial steps in this region focus on **urban areas** to optimise logistics in the early phases, followed by a **gradual expansion into suburban areas**.

In the event of the initiative's success, there is potential for further expansion into other areas where the L'Oréal Group has influence in, reaching a **global scale**.



DISTRIBUTION STRATEGY

Looking at the product features and customer characteristics, a distribution strategy has been developed. Among potential intermediaries, wholesalers and retailers have been excluded. The characteristics of the product, with a very low buying frequency, considering it is a **one-time purchase** with **long-lasting effects**, suggest the importance of a more direct relationship with customers. Therefore, a direct sale by L'Oréal through its **online channels** has been favored, combined with the use of **agents**. The latter can facilitate an increased intimacy with customers while ensuring geographic and demographic market expansion and improved service.

ONLINE

To maintain direct control over sales and establish a point of contact with customers, the primary distribution channel utilized is that of **e-commerce** and the **Group's websites**. Customers can access detailed information about the product (Hair Collector) and the associated programme on various Group websites and dedicated pages. At this stage, they can reach out to the company for additional information and also have the option to make a direct purchase by registering their salon partner account.

AGENTS

The fundamental channel for the Hair Collector sales penetration is represented by agents who are responsible for establishing a **physical contact with salons**, meeting professionals in conventions, and/or reaching them directly in the shops. These agents can either be **external entities**, earning a commission on sales, or **representatives of collection partners**. The latter, in particular, would typically retain a reduced commission as it is in their vested interest to onboard new salons into the project. By doing so, they expand the network of collection points, resulting in increased quantities of raw materials and, consequently, a mutually beneficial outcome.

Promotion

In order to ensure the effective spread of L'Oréal CirculHair, it is crucial to focus on both B2B and B2C marketing strategies, looking again at the two Buyer Personas. This approach allows a focus on **corporate communication**, crucial for managing the company's image, as well as **commercial communication** geared towards sales. Furthermore, considering the AIDA Model, the following communication mix has been designed to cover the four phases.

Content Marketing: L'Oréal provides **clear information** and articles about the programme on its websites and various channels, integrating them with testimonials and reviews from selected salons.

Advertising: Leveraging the effectiveness of market leaders in advertising, L'Oréal exploits various channels to reach a broad audience and generate interest in the initiative. **TV** and **Social Media** target salon customers, placing a greater emphasis on presenting the experience and the Hair Journey, including at the same time a minor share of salon workers. **Customers themselves become drivers** of these advertisements, informing their trusted salons about the initiative and favouring those participating in it. This approach enhances L'Oréal's brand image, showing a strong commitment to sustainability and benefiting sales in different segments.

Personal Selling: Thanks to its **agents**, the Group utilizes **Personal Selling** to directly engage with salons. Despite a high CPC, this strategy is particularly suitable during the initial phases when the project is not widely known and hairdressers might be skeptical about its effectiveness.

Events: Salons can also be reached at industry related events where L'Oréal provides a **physical demonstration** of the Hair Collector's functionality and offer direct testimonials of the project's effectiveness, including the presence of partners themselves.

Press Releases: While not directly employed by L'Oréal, given the innovative scope of the project and the brand's prominence, it is prudent to consider that numerous **rumours** may circulate through newspapers and other channels. This presents an opportunity to reach large audiences with low investments; however, due to the lack of control, it is crucial to provide **transparent information** about the project to prevent negative interpretations.

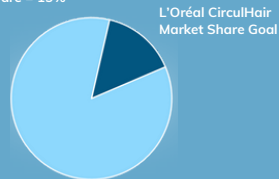
With the presented media mix, L'Oréal leverages not only paid media but also owned and earned media. This mix is considered suitable to enable the group to reach a target of 15% of the total salons in Europe.

A **market share of 15%** is considered achievable by the group in the first year, with significant growth opportunities for the future.

In addition to brand awareness, this initiative is supported by the fact that each salon has the need to dispose of cut hair throughout the day. However, compared to the Potential Market, not all salons are interested in the topic, willing to spend the required amount for the product, or reached by the marketing efforts of the company.

Total # of Hair Salons in Europe = 400'000

Target Market Share = 15%



Price

Among the factors influencing the Pricing Policy for L'Oréal Hair Collector and its sacks, the innovative reach of the project plays a key role. Competition is challenging to define, as it can only be identified among existing hair vacuuming machines or hair recycling initiatives, which will eventually diminish as organisations managing their established partnerships with L'Oréal and join the new programme. Low competition and **first-mover** advantage, therefore, reduce price pressure and allow for greater flexibility. In this context, L'Oréal prioritises **long-term profit** and **market share** as pricing objectives.

The pricing method has been diversified for Hair Collector and its sacks. Specifically, **perceived value pricing** has been implemented for the Hair Collector, while **markup pricing** has been chosen for the latter.

HAIR COLLECTOR PRICING

Various drivers will lead the typical target customer to attribute a relatively high value to the Hair Collector:

- the **ease of use** in addressing the daily need for hair collection and waste management
- the opportunity to **recycle hair**
- the **image benefits** associated with the product and the initiative

These benefits have been regarded as added value compared to the hair vacuuming machines available in the market, whose average price is around 200€. Considering that the customer recognizes that they are not merely purchasing a Hair Collector but the opportunity to participate in the initiative, the purchase price has been set at **490€**. The price, higher than the market average, reflects a **Skimming Pricing strategy** during the introduction phase. A Penetration Pricing approach, instead, while capable of reaching a broad number of salons, could lead to logistical challenges and insufficient capacity due to the difficulty of securing partners large enough to achieve substantial volumes quickly.

SACKS PRICING

The low unit price of a sack enables L'Oréal to set a substantial **markup of 120%**. This pricing strategy is typical for products that have a much higher acquisition cost than that of their components, where higher markups are applied to components that are regularly repurchased. Following the sale of the Hair Collector, the sole source of revenue from salons to L'Oréal is derived from the purchase of sacks: the generous margin enables the Group to recoup the initial investment gradually over the long term, thanks to the small-scale but frequent purchases made by salons.

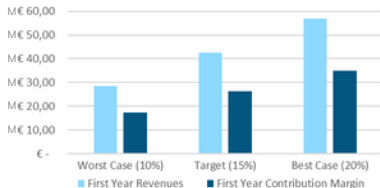
Unit Price of a Sack= $BEP (1 + MARKUP \%)^* = 0.50 (1 + 120\%) = \mathbf{1.10€}$

* A key step to set the price is cost estimation. The characteristics of the proposed products are significantly different from the cosmetics production that L'Oréal focuses on, leading to different production needs than those for which the infrastructures were designed. For this reason, similarly to what was done for the Water Saver in collaboration with Gjosa, it has been decided to outsource the production. The COGS (Cost of Goods Sold) is thus identified with the acquisition cost of Hair Collectors and sacks from suppliers. Referring to prices available in the market, including hair vacuuming machines and sacks sold to end customers, considering the premium features of the Hair Collector (with motion sensor, silencer, and IoT sensor), and taking into account that L'Oréal would be purchasing them in large volume with high bargaining power, they have been set at a unit cost of: **170€** for Hair Collector and **0.50€** for sacks. To these variable costs, additional capital expenditures and investments need to be added, which are better described in the following slide.

Expected Results

To analyse the financial impact of L'Oréal CirculHair on the Group, estimates have been made regarding Revenue Streams and the investments necessary for the programme's implementation. Detailed calculations are provided [in the present Spreadsheet](#).

The Revenue Streams, in particular, have been estimated by exploring three possible scenarios: one corresponding to achieving the predetermined target of **15% of European salons**, accompanied by a worst-case scenario (10%) and a best-case scenario (20%). The target influences the percentage of salons reached; regardless of this, it has been estimated to sell an average of **1.3 Hair Collectors per salon**, taking into account the presence of larger salons or those developed on multiple floors that would opt for multiple purchases. Furthermore, considering the Hair Collector's above-average dimensions in the market and its capacity to minimise hair volume, it is assumed that a bag is changed on average **once a week** for each Hair Collector.



On the flip side, the expenses associated with L'Oréal CirculHair are notably high. It requires expenditures for R&D in designing the Hair Collector and the functionalities of the programme, the purchase of a smart system for supply chain management, and substantial investment in promotion. This results in an estimated **initial investment of around 36 M€**. In addition, variable costs arise from procuring Hair Collectors and sacks from suppliers, along with sales commissions retained by agents: it is assumed that, concerning the total Hair Collectors, 60% will be sold directly by L'Oreal.

Break Even Analysis

Looking at the first-year contribution margin in the scenario where the 15% target is met, it is evident that it is insufficient to cover the initial investment. This was acknowledged during the idea development phase: considering the foresight of the project and its positive impact on society, the environment, and the Group itself, L'Oréal might be willing to wait more than a year to recoup the entire investment. Additionally, the indirect benefits that the initiative could bring to sales in other segments have not been estimated, but they could have a significant influence.

Future Outcomes

The growth opportunities for the future are uncountable, with the potential to expand the reach of the network and venture into new geographic areas. To increase Revenue Streams, it would be feasible to design commissions on the raw material that partners obtain from the project: indeed, the branded bags equipped with barcodes ensure adequate traceability. Moreover, the network's opportunities could be extended to the recycling of other materials used by salons, such as packaging.

Business Model Canvas

Aiming to assess the soundness and coherence of the overall structure of the proposed solution, a Business Model Canvas has been drafted. The elements included in the canvas are exclusively related to L'Oreal CirculHair, analyzing its ability to stand alone and providing the essentials of the idea.

